
MAKING FOOD DELIVERY AN EVERYDAY REFLEX

Zomato Tier-1 Product Strategy (CY2026)

- Focus: Engagement & Retention
- Scope: Tier-1 cities
- PM Ownership: End-to-end food delivery journey

Strategy case study | Assumption-driven, behavior-led

Executive TL;DR

The Problem

Food delivery in Tier-1 cities is saturated.

Users have plenty of choice—but low confidence and limited mental bandwidth.

Core Insight

The biggest drivers of churn are decision fatigue before ordering and anxiety after placing an order.

The Big Bet

If Zomato reduces cognitive effort upfront and delivers predictable outcomes post-order, users will order more; without relying on discounts.

“Retention is a behavior problem, not a pricing problem.”

Visionary Objective (CY2026)

Make ordering food an everyday reflex for Tier-1 users by delivering a fast, predictable, and mentally effortless experience.

Why this matters?

Tier-1 growth = frequency, not acquisition

Habit > incentives

Trust compounds into long-term LTV

“This objective optimizes for habit formation, not short-term growth spikes.”

North Star Metric

Why Orders/MAU?

Captures engagement (frequency)

Reflects retention (habit)

Sensitive to experience quality

Supporting Metrics

90-day retention

Orders per retained user

Delivery CSAT

“If Orders / MAU doesn’t move, improvements elsewhere are not compounding.”

CY2026 Key Results

Key Results (Outcome-Focused)

KR1 - Retention (Stay)

Increase 90-day retention by +8 percentage points

KR2 - Engagement (Come Back)

Increase order frequency from 3.2 → 3.8 orders per user per month

KR3 – Reliability (Trust)

Reduce delivery dissatisfaction (CSAT < 3) by 30%

Each KR targets a distinct stage of habit formation

Stay → Users return after initial usage

Come Back → Ordering becomes a routine behavior

Trust → Bad experiences don't break the habit loop

“Designed to move behavior, not vanity metrics”

KR1 – Retention Initiatives

Why This Works?

Reduces cognitive load during the first 30 days—when long-term retention is decided.

Initiative 1.1:

Intent-Led Personalized Discovery

- Contextual feeds based on time of day, location, and past ordering behavior
- Curated set of 8–12 high-relevance restaurants to reduce choice overload

Initiative 1.2:

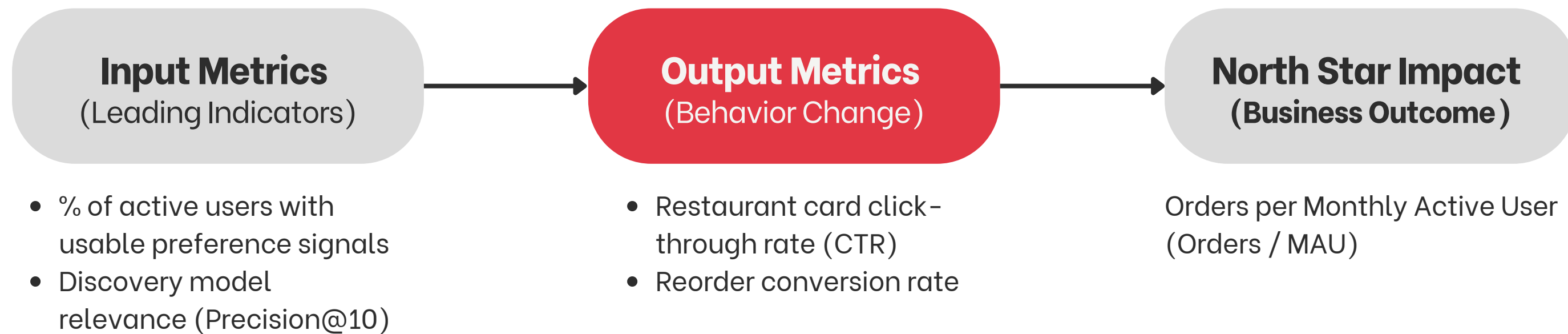
Zero-Effort Reordering

- One-tap reorder with intelligent substitutions for unavailable items
- Preferences auto-applied (address, payment method, add-ons)

“Deliberate trade-off: simplicity over full catalog exposure”

KR1 – Metric Ladder

(How Retention Is Driven)



“Leading indicators are monitored weekly to enable fast iteration.”

KR2 – Frequency Initiatives

Why This Works?

Frequency increases when ordering feels obvious and effortless; not promotional or forced.

Initiative 2.1:

Occasion-Based Habit Triggers

Make ordering feel timely, not interruptive

- Contextual nudges aligned to natural eating moments
- Triggered only when predicted intent is high
- Suppressed when relevance is low to avoid fatigue

Initiative 2.2:

Gold++ – From Discounts to Reliability

Shift subscription value from savings to certainty

- Priority delivery during peak demand
- Faster, proactive issue resolution
- Guaranteed delivery reliability

“Deliberate trade-off: fewer nudges, higher confidence.”

KR3 – Trust & Reliability Initiatives

Why This Works?

Trust compounds over time, but breaks instantly; one poor delivery experience can erase months of habit formation.

Initiative 3.1:

Predictable Delivery Promises

- Narrow, confidence-based ETA windows
- Proactive communication for delays before users ask

Initiative 3.2:

Instant Issue Resolution (<60s).

- AI-led refunds and resolutions for common failure cases
- Zero human escalation for low-risk issues

“Reliability, not speed, is the foundation of long-term retention in Tier-1 markets.”

Funnel Overview

End-to-End Food Delivery Funnel (Tier-1)



What I'm Solving For?

Identify silent drop-offs that don't show up as explicit churn

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Focus on stages where experience quality (not price) drives behavior

The biggest retention losses happen before commitment and after payment, not at checkout.

Funnel Drop-Off Insights

Where users silently disengage in the journey

Key Takeaway

Checkout is not the bottleneck.
The biggest retention leaks occur before cart creation and after order placement, where confidence breaks.

Funnel Stage	Primary Drop-Off Signal	Core Insight
Discovery	High bounce rate	Excess choice creates decision fatigue
Menu View	Menu abandonment	Final price & availability revealed too late
Post-Order	Order anxiety	ETAs feel uncertain and unreliable
Delivery	Low CSAT	Issue resolution is slow and inconsistent

“Insight derived from directional funnel behavior, not isolated metrics.”

Funnel Hypotheses

Each hypothesis is independently testable
and measurable within weeks.

Hypothesis 1 – Discovery

Personalized, intent-led discovery will reduce early-session exits by lowering decision fatigue.

Hypothesis 2 – Menu → Cart

Surfacing final pricing and item availability upfront will increase menu-to-cart conversion by reducing price shock.

Hypothesis 3 – Post-Order

Confidence-based ETAs with proactive communication will reduce cancellations and delivery-related complaints.

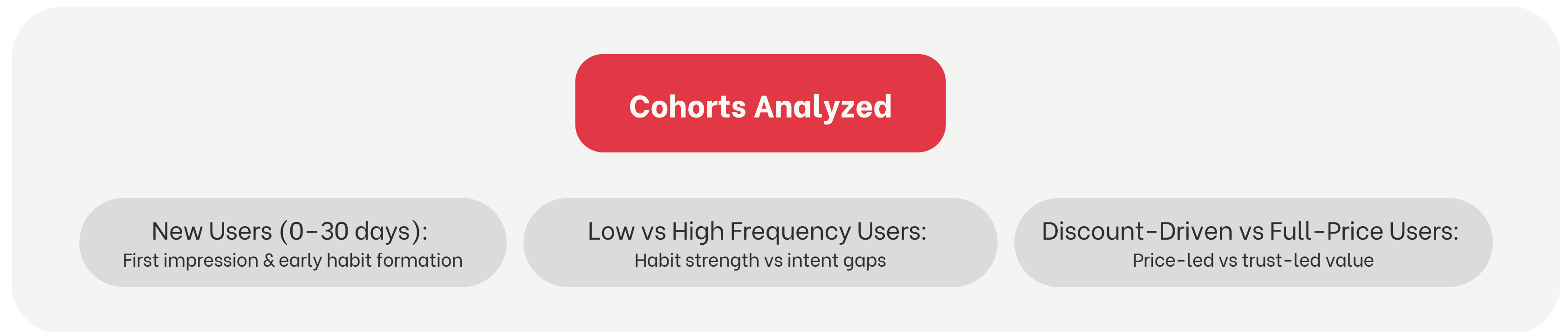
Hypothesis 4 – Post-Incident

Faster, automated issue resolution will improve post-incident retention and repeat ordering.

Cohort Analysis – Overview

Why Cohorts Matter?

Aggregate metrics hide churn. Retention breaks for different reasons across user segments.



Goal –

Identify where and why users disengage – and design targeted retention levers instead of one–size–fits–all solutions.

“Retention problems are cohort–specific; solutions must be too.”

Cohort 1 – New Users (0–30 Days)

Core Problem

- High cognitive load during first discovery
- Inconsistent early delivery experiences break trust

Product Hypothesis

- Curated, intent-led onboarding feed for first 30 days
- “First 3 Orders” experience guarantee (quality, ETA, resolution)

Expected Impact

- Higher Day 30 retention
- Faster transition from trial → habit

“Day 0–30 behavior is the strongest predictor of long-term retention.”

Cohort 2 – Low vs High Frequency Users

Core Problem

Low-frequency users do not form ordering habits and rely on deliberate intent rather than reflexive behavior.

Product Hypothesis

Introduce context-aware habit triggers (lunch, late-night, weekends) combined with frictionless reordering to reduce effort at the moment of intent.

Expected Impact

Increase monthly order frequency by converting occasional usage into repeat, habitual behavior.

“Focus: lowering effort at decision time, not increasing reminders.”

Cohort 3 – Discount vs Full-Price Users

Core Problem

- Discount-driven users show high short-term activation
- Retention drops sharply once incentives are removed
- Price, not product value, becomes the primary reason to return

Product Hypothesis

- Shift users from price-led value to trust-led value by emphasizing –
- Predictable delivery times
 - Priority resolution & guarantees
 - Consistently high-quality outcomes

Expected Impact

Higher long-term retention without increasing discount burn.

“Not all users should be retained at all costs. We retain users who trust the product.”

Strategic Narrative (Leadership View)

Tier-1 users don't need more choice or deeper discounts.

They need food delivery to feel effortless and dependable.

What wins in Tier-1?

Reduced decision-making at the moment of intent

Confidence that the order will arrive as promised

Consistently predictable outcomes, even when things go wrong

Strategic Shift -

This strategy treats UX simplicity, operational reliability, and user trust as first-class product features; not supporting functions.

“Habit is built when effort and uncertainty are removed.”

Explicit Assumptions

Tier-1 users prioritize reliability and time savings over marginal discounts

(Especially for repeat and weekday orders)

Improving retention yields higher long-term value than incremental acquisition

(Through compounding frequency and lower incentive burn)

Predictable delivery outcomes create a stronger competitive moat than raw speed

(Trust > fastest ETA at scale)

“These assumptions are testable and will be validated through controlled experiments.”

Why This Wins for Zomato

Drives higher order frequency without relying on deeper discounts

→ Growth comes from habit and relevance, not incentive inflation

Repositions Gold from a discount program to a reliability product

→ Priority delivery, faster resolution, and predictability become reasons to stay

Creates long-term defensibility through trust, not price wars

→ Users build habits around confidence and consistency

Outcome -

Sustainable engagement and retention with healthier unit economics.

“Optimizes for long-term LTV, not short-term GMV spikes”

Closing Thought!

**Zomato wins Tier-1 not by offering more choices or deeper discounts,
but by removing thinking and replacing it with trust.**

This strategy makes food delivery a habit – not a decision.

“Designed for iteration. Anchored in behavior, not assumptions.”